TALKING TO HUMANS

Success starts with understanding your customers

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and foreword by

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ISBN: 978-0-9908009-0-3

Special thanks to the NYU Entrepreneurial Institute for their collaboration and support in the creation of Talking to Humans

Acclaim for *Talking to Humans*

"If you are teaching entrepreneurship or running a startup accelerator, you need to make it required reading for your students and teams. I have."

, entrepreneur, educator and author of
Four Steps to the Epiphany* and *The Startup Owner's Manual

"If entrepreneurship 101 is talking to customers, this is the syllabus. *Talking to Humans* is a thoughtful guide to the customer informed product development that lies at the foundation of successful start-ups."

Phin Barnes, Partner, First Round Capital

" on your Customer Discovery journey is the most important step to becoming a successful entrepreneur and reading *Talking To Humans* is the smartest first step to finding and solving real problems for paying customers."

, Executive Director, for Entrepreneurship
University of California Berkeley

"A lot of entrepreneurs pay lip service to talking to customers but you have to know how. *Talking to Humans* offers concrete examples on how to how to recruit candidates, how to conduct interviews, and how to prioritize learning from customers more through listening versus talking."

, Founder Spark59 and Author of *Running Lean*

"This is a great how-to guide for entrepreneurs that provides practical guidance and examples on one of the most important and often under practiced requirements of building a great startup—getting out of the office, talking directly with customers and partners, and beginning the critical process of building a community."

, General Partner, Flybridge Capital

"Giff has been one of the thought leaders in the lean startup movement from the very beginning. Entrepreneurs in all industries will find Talking to Humans practical, insightful, and incredibly useful."

, New York Times bestselling author of *The Lean Entpreneur*

"Current and future customers are the best source of feedback and insight for your new product ideas. Talking to them is intimidating and seemingly time-consuming. In this focused, practical, down-to-earth book demystifies the art (not science) of customer discovery helping entrepreneurs and product veterans alike learn how to build a continuous conversation with their market and ensure the best chances of success for their ideas. Want to know what your audience is thinking? Read this book!"

, author of *LeanUX*

"When getting 'out of the building,' too many people crash and burn right out of the gate and wonder what happened. *Talking to Humans* is a quick and effective guide for how Lean Startup interviews should be done: who to talk to, how to talk your way in the door, and how to gain the most insight and learning. Don't crash and burn – read *Talking to Humans*!"

, Associate Vice President for Innovation & Entrepreneurship
University of Maryland

"A must read for anyone who is considering creating a startup, developing a new product or starting a new division. Read this book first – a great guide to the evolving art of customer discovery. Don't waste your time building products that your customer may or may not want. Before you write the first line of code, pitch your idea to investors or build the first prototype, do your self a favor, read this book and follow the advice! I guarantee you will make better decisions, build a better product and have a more successful company."

, Partner, True Ventures

"Primary market research has been around for a long time because it has stood the test of time and proved that it is fundamental to building a successful venture; it underlies all that we do at MIT in entrepreneurship. The question is how we more broadly deployed appropriate skills to

entrepreneurs so they can be guided to do this in an efficient and effective manner while maintaining rigor. With all the sloganeering out there on the topic, this book stands out in that it delivers real value to the practitioner in this regard."

, Managing Director, Martin Trust Center for MIT Entrepreneurship

"Talking to strangers can be scary, but it's vital to launching any new product. Through storytelling, makes customer development concepts accessible. This book will show you how to articulate assumptions, get useful information and turn it into meaningful insights. Then it delivers practical advice you can use immediately to test your ideas. Fear holds people back. This book will give you the confidence to jump."

, Chief Strategy Officer, Meetup.com

Table of Contents

8 Foreword
11 Introduction

14 The Story

28 Lessons Learned

30 How To

31 with Customer Discovery
32 Who Do You Want to Learn From?
36 What Do You Want to Learn?
44 How Do You Find Your Interview Subjects?
52 How to Ensure an Effective Session?
58 How Do You Make Sense of What You Learn?
65 Conclusion

66 Appendix

67 Cold Approach Examples
69 Business Assumptions Exercise
72 Teaching Exercise #1: Mock Interviews
74 Teaching Exercise #2: Mock Approach
76 Screwing Up Customer Discovery
80 Glossary
82 Other Learning Resources

83 Behind the Book

Foreword

"Get out of the building!" That's been the key lesson in building startups since I first started teaching customer development and the curriculum in 2002. Since then, a lot has happened.

The concepts I first outlined in my book *The Four Steps to the Epiphany* have grown into an international movement: The Lean Startup. The class I developed - The - is now taught at Stanford, UC Berkeley, Columbia University, UCSF, and most recently New York University (NYU). More than 200 college and university faculty have taken my Educators Seminar, and have gone on to teach the curriculum at hundreds of universities around the globe. The National Science Foundation, and now the National Institute of Health, use it to commercialize scientific research as part of their Innovation Corps (I-Corps) program. My *How to Build a Startup* class on Udacity has been viewed by over 225,000 students worldwide. During the past few years, we've seen dozens of large companies including General Electric, Qualcomm and Intuit begin to adopt the lean startup methodology.

The Lean Startup turns the decades-old formula of writing a business plan, pitching it to investors, assembling a team, and launching and selling a product on its head. While terms like "pivot" and "minimum viable product" have become widely used, they are not understood by many. The same can be said of "getting out of the building". Many entrepreneurs "get out" and get in front of customers, but take a simplistic view and ask their customers what they want, or if they would buy their startup's (half-baked) product. The "getting out" part is easy. It is the application of the customer

development methodology and the testing of their hypotheses with users, customers and partners that is both critical and often difficult for entrepreneurs to grasp in the search for a scalable and repeatable business model.

Since the Four Steps, many other books have been written on customer development including *The Startup Owner's Manual*, *Business Model Generation*, *The Lean Startup*, and others. Each of these texts has advanced our understanding of the customer development methodology in one way or another, teaching aspiring students and entrepreneurs the what, when and why we should get out of the building, but have only skimmed the surface on "how" to get out of the building.

For both my own classes as well as I-Corps, I always made s blog post "12 Tips for Early Customer Development Interviews" required reading. It answered the "how" question as well. Now Giff has turned those 12 tips into an entire book of great advice.

In a comprehensive, yet concise and accessible manner, *Talking to Humans* teaches you how to get out of the building. It guides students and entrepreneurs through the critical elements: how to find interview candidates, structure and conduct effective interviews and synthesize your learning. Giff provides ample anecdotes as well as useful strategies, tactics and best practices to help you hit the ground running in your customer discovery interviews.

If you are a student, aspiring entrepreneur or product manager trying to bring the value of getting out of the building to an existing company, *Talking to Humans* is a must read. It is chock full of lessons learned and actionable advice that will enable you to make the most of your time out of the building.

Talking to Humans is the perfect complement to the existing

body of work on customer development. If you are teaching entrepreneurship or running a startup accelerator, you need to make it required reading for your students and teams. I have.

September 3, 2014

Introduction



The art of being a great entrepreneur is finding the right balance between vision and reality. You are probably opening this book because you want to put something new in the world. That's an incredibly powerful and meaningful endeavor. It's also scary and extremely risky. How can you get ahead of that risk and beat the odds?

Every new business idea is built upon a stack of assumptions. We agree with insight that it is better to challenge your risky assumptions right at the start. You can't challenge anything sitting in a conference room. You have to get into the market, or, as Blank likes to say, "Get out of the building!"

There are two effective ways to do this: 1. talk directly to your customers and partners, and observe their behavior; 2. run experiments in which you put people through an experience and track what happens.

This book focuses on the first. The qualitative part of customer discovery is surprisingly hard for most people, partly because talking to strangers can feel intimidating, and partially because our instincts on how to do it are often wrong.

Here's what customer discovery is not: It is not asking people to design your product for you. It is not about abdicating your vision. It is also not about pitching. A natural tendency is to try to sell other people on your idea, but your job in customer discovery is to learn.

You are a detective.

You are looking for clues that help confirm or deny your assumptions. Whether you are a tiny startup or an intrapreneurial team within a big company, your goal is not to compile statistically significant answers. Instead you want to look for patterns that will help you make better decisions. Those decisions should lead to action, and smart action is what you need for success.

This book was written as a focused primer on qualitative research to help you get started. You should view it as a complement to the other excellent resources out there on customer development and lean innovation. It is not a rulebook, but hopefully you will find the principles included here useful.

The book comes in two parts. It begins with a fictional story of two entrepreneurs doing customer research for the first time. The second part is a mix of theory and tactics to guide you through the core steps of customer discovery. While the fictional story highlights a consumer-facing business, I should note that there are plenty of tips in this book for teams who sell to the enterprise.

Some last words to kick things off: entrepreneurs have a tendency to over-obsess about their product to the neglect of other business risks. They also tend to stay inside their heads for far too long. I urge you to be brave, get out of the building, and go talk to real human beings.

August 2014

Some Thanks Are Due

Many thanks to for encouraging me to write this, and his students and team at NYU for providing early feedback, for the foreword and his inspiration and leadership on the topic of entrepreneurship, for his great illustrations, and for their insights, my colleagues at Neo for continuing to push forward the craft of customer development, the many speakers and members of New York's meetup who have shared their stories with me, and for inspiring me and so many others.

PART ONE

The Story



Breakthrough

Koshi and Roberta had so much adrenaline pumping through their systems that neither could sleep that night. After a year of challenging lab work, they had finally cracked it. They were now sure they could manufacture artificial down feathers cost-effectively. Their insomnia was ironic, since their very dream was to transform the quality of people's sleep through the invention of a better pillow.

They knew they had a technical advantage. Their artificial down had heightened levels of insulation, a better resilience/resistance quotient, and was kinder to both animals and the environment.

Now the question was, did they have a business?

The Advisor

They called a meeting with their entrepreneurial advisor the next day. Samantha had built four companies, successfully exiting two of them. She was now an angel investor and believed firmly in giving back by working with first-time entrepreneurs.

"We finally cracked it!" Roberta blurted out.

"What she means," Koshi said, "is that we're convinced we can manufacture NewDown in a cost-effective and repeatable manner. Now we think we can make a real business."

"So you want to know if the time has come to jump in feet first?" asked Samantha. The two scientists nodded. "If you want to be successful bringing something to market, you need to understand the market. Do you feel like you know when and why people buy pillows today?"

"Not really," Roberta said. "We've spent our time in the lab focused on the product side."

"I suspected so. Founders commonly obsess about product at the

expense of the understanding the customer or the business model. You need to work on it all, and you have to challenge your thinking. Behind your startup is a belief system about how your business will work. Some of your assumptions will be right, but the ones that are wrong could crater your business. I want you to get ahead of the risky hypotheses that might cause failure."

Samantha had the founders list out the riskiest hypotheses.

1. We believe that people care about sleep quality when making a pillow purchase decision.
2. We believe that we can sell online directly to customers.
3. We believe that our customers will be young urban professionals.
4. We believe that our very first customers will be new graduates who need to outfit their apartments.
5. We believe that we can sell our pillows at a high enough price to cover our costs.
6. We believe that we can raise enough capital to cover investments in manufacturing.

"Let's put aside the fundraising risk right now," Samantha said. "It's what everyone jumps to, but you need to strengthen your story first. Many of your risks are tied to your customer. I like attacking a problem from multiple directions and recommend three approaches. First, I want you to walk a day in your customer's shoes and actually go out and buy a pillow. Second, I want you to observe people in the process of buying a pillow. And third, I want you to talk directly to them."

"Talk to people?" said Koshi. "I'm a scientist, not a salesperson. If I simply asked someone if my pillow was better, they would have no idea. If I asked them if they would buy my pillow, I couldn't trust

the answer. So what is the point?"

"Your job right now isn't to sell, but rather to learn. You are right, though: getting the customer to speculate is rarely useful," Samantha said. "You need to understand your market. How does your customer buy? When do they buy? Why do they buy? Where do they buy? As a scientist, you are fully capable of doing research, gathering data, and seeing if your data supports your hypotheses. I promise you, if you are polite and creative, people will be more receptive to you than you might think."

"Buying. Observing. Talking. Do we really need to do all three? Can we really afford to spend the time?"

"Can you afford not to? Each of the three approaches is imperfect, but together you should see patterns. By walking in your customer's shoes you will gain empathy and personal understanding, but you don't want to rely solely on your own experience. By watching people shop, you can witness honest behavior, but you won't be able to get into their heads to know their motivations. By talking to people, you gather intel on both behavior and motivation, but you have to be careful not to take what you hear too literally. Each method has strengths and weaknesses, but taken together you will learn a ton. You will have a lot more confidence that you are either on the right track, or that you have to make changes to your plans. It is far better to discover bad assumptions now, before you have invested a lot! Now, how do you think you should proceed?"

"We want our customers to buy online from us, so I guess we should also buy our own pillow online," said Roberta. "And we can observe people shopping by going to a home goods store."

"That sounds good," said Samantha. "You will want to talk to some of those people in the store as well. I see one catch: you will be

targeting the moment of purchase but not the type of customer you are hoping for. One of your risk assumptions was specifically about young urban professionals and new graduates, so what can you also do to target and connect with them?"

"What about going to a coffee shop near the downtown office buildings as people are going to work?" Koshi said.

"Can't we just hit up some of the people we used to know in college who are now in the working world?" Roberta said.

"Why don't you try both, and see which approach works better," said Samantha. "Roberta, I would also ask your friends if they will refer you to their friends. It's best to talk to people who aren't too close to you. You don't want a someone's affection for you to steer what they have to say.

"Let's start by thinking through the questions you want to ask. It always makes sense to prioritize what you want to learn. You should write down an interview plan, even if you don't completely stick to it. Break the ice, and then get them to tell you a story about buying a pillow!"

The scientists sketched out a plan:

Intro: hello, I'm a PhD candidate at Hillside University and I'm researching sleep quality. I'm asking people about the last time they bought a pillow. Would you mind if I asked a few questions?

When was the last time you bought a pillow?

Why did you go looking for a pillow?

How did you start shopping for a pillow?

Why did you choose the one you bought?

After you bought, how did you feel about the pillow you purchased?

Are you going to be in the market for a pillow anytime soon?

"That's a great start," Samantha said. "Keep good notes as you go, and remember to regularly regroup to review your findings and look for patterns. Be mindful of which method you used as you discuss your observations."

Walking in the Customer's Shoes

Koshi and Roberta got together the next day after both purchasing a pillow online.

"I found it all a bit frustrating," said Roberta. "It was hard to learn why you would choose down feathers, cotton, or foam. The manufacturer websites felt like they were from the 1990s. There were some reviews available on Amazon and Bed Bath & Beyond, which helped. In my interpretation, about 65% of reviews talked about sleep quality, which seems like a good sign for our first risk. A lot of the reviews had to do with personal preference for firm versus soft pillows. I think we can offer both kinds eventually, but we likely need to choose one at the beginning and that could impact some of our assumptions around market size. "

"I started out by searching Google," said Koshi. "Amazon and BB&B dominated the results, as we expected, but there were a few specialty providers like BestPillow that ranked high. BestPillow lets you navigate their website by sleep issue, such as snoring or neck pain, which I found interesting. While I see some makers pushing hypoallergenic offerings, I didn't see anyone who could meet our claims of being environmentally friendly. I agree that all the manufacturer websites felt ancient. I think there's an opportunity to be smart about search engine optimization and really stand out if we can get the messaging right. I guess our next step is to visit the retail

stores."

Observing the Customer

Roberta ended up going to a Bed Bath & Beyond while Koshi went to a local department store. She watched three different people come in and pick through several different pillows, puzzling over the packaging material. One of them asked a store employee for help, and two pulled out their s to look online. She then watched a woman go right to a particular shelf, grab a pillow and head back to the aisle. Roberta's plan was to balance observation and interaction, so she decided to jump in. "Pardon me," she said "I am trying to figure out which pillow to purchase and noticed that you went right to that one. Might I ask why you chose that pillow?"

"Oh, I replaced some ratty old pillows in my house a few weeks ago," the woman said, "and I liked this one so much that I thought I would replace my whole set."

"Do you mind if I ask how you decided to buy that pillow in the first place? My name is Roberta, by the way."

"Nice to meet you, Roberta. I'm Susan. Well, I guess I started by researching online and..."

A day later, the founders met to compare notes.

"The BB&B had good foot traffic," Roberta said, "and I was able to watch fifteen people, and speak to ten. Of the ten, one knew what she wanted going into the store, three were basing their purchase just on packaging and store price, and six did Google searches on their phones, right there in the store. They were looking up reviews and pricing. You mentioned search engine optimization earlier — I think it could be even stronger with a fabulous mobile experience."

She looked down at her notes. "I also found that seven out of ten were trying to choose a pillow specifically for better sleep, although their sleep problems were diverse. Finally, when I asked

them why they were buying a pillow, the folks over 40 seemed to be in replacement mode, while the folks under 40 seemed to be reacting to a life change. Two people were moving to a bigger house from an apartment. Another person was moving in with their girlfriend, and another said that she got a new job and could now afford nicer things."

"I went to the home goods section of a high-end department store," said Koshi. "I saw eighteen people, and five of them knew what they wanted already. The rest spent time puzzling over the packaging and, like your group, going online with their . I spoke to nine shoppers. I said that I was a scientist trying to invent a new pillow. People thought that was pretty cool. Two of them admitted that they were buying the highest price pillow because they assumed that it had to be the best. Two got the cheapest because it was the cheapest. The others had specific preferences for down, cotton or foam based on the firmness they were looking for in a pillow. The firmness preference seemed to be tied to a belief that they would sleep more soundly. On price, I was relieved to see that the prices of the better pillows were in line with what we were hoping to charge."

Roberta pulled out a pad. "So we saw thirty-three people and spoke to nineteen. Our sample set is still small, but Samantha told us to look for patterns and not worry about statistical significance right now. If we break our observations into a few metrics, what have we learned?"

- 24% of shoppers knew what they wanted when they walked in
- 52% looked up information on their phone in the store
- 45% of shoppers purchased a mid-priced or high-priced pillow
- 68% of the people we spoke to indicated that better sleep was a major driver of their choice

- 37% of the people we spoke to were reacting to a life change
- 37% of the people we spoke to were in replacement mode

"I think the use of s is something we need to pay attention to and work into our strategy," Koshi said. "I guess for our next step, we should follow Samantha's suggestions to target urban professionals."

Regrouping

A week and many interviews later, the team sat down with Samantha.

"How did things go?" she asked.

"I went to a downtown coffee shop at peak hour," Koshi said. "At first, everyone was in such a hurry to get to work that I didn't get much response, but then I made a little sign I held up outside that promised 'coffee for science,' which started to get laughs and a lot of curiosity. I ended up talking to about fifteen people who matched our target of young urban professionals. I got to talk to them for about five to twenty minutes each. It was actually very enjoyable.

"One clear pattern was that people right out of school tended to have no clue. They either had never bought a pillow themselves, or if they had, it had been the cheapest thing they could get. A few admitted that they were probably going to buy new bedding. I know it is speculation, but I asked them to guess how they might go about looking for a pillow, based on how they shop for other things. The common responses were searching on Google or Amazon, or walking into a Bed Bath & Beyond.

"The few folks in their later twenties or thirties whom I spoke to had usually bought at least one pillow — some from Amazon and some from retailers. The ones who liked a firm pillow avoided

down feathers. The ones who wanted to upgrade to fancier duvets and high thread-count sheets all seemed to go with duck and goose feathers. They didn't know any brands and instead relied on product packaging. Amazon buyers did actually read the reviews. All these folks were only planning on buying new pillows when they were moving to a bigger apartment because they were getting married or something."

"Yes, that aligns with what we learned when we spoke to people in the retail stores and what I saw with my other interviews," said Roberta. "Pillow buying seems to be tied to life events like moving and marriage and such. I interviewed a different group. A whole bunch of our old classmates responded to my email or my Facebook post. I even had some folks pass me on to their friends, and so I got to talk to some people who didn't go to school with us.

"Like you, I saw a lag effect after someone graduated from college. When new graduates told me that they had not spent any money on their linens yet, I inquired further and found out that their initial spending money was predominately going towards clothes. I spoke to twelve people between 22 and 25, and roughly 60% had actually bought a pillow in the last few years. I saw similar trends as you, although most went right to Google, Amazon or a few specialty online retailers. It seemed like a very online crowd. The price sensitive ones stayed away from down. They didn't have much to go on for brand, but the reviews helped. The women definitely cared more about quality and put more effort into their hunt."

"The good news is that everyone thought inventing a new pillow was an awesome idea!" said Koshi.

Samantha chuckled. "Of everything I've heard you say, that last bit is probably the least useful. It's easy to say something is cool. It's another thing to actually buy. The good news is, you are a lot more educated about your market than you were last time we met.

I see from your notes that you have either spoken to or observed 72 people. We should be able to see some patterns from that. Let's revisit our critical assumptions."

Challenging Assumptions

The team looked at their initial list.

1. We believe that people care about sleep quality when making a purchase decision.

"68% of the retail shoppers indicated that this was a major factor," said Roberta. "Of our young urban professionals, we were able to ask this of only a portion of our interviewees. Only 56% indicated that it was a factor, but if we factor out the new graduates, it was more like 70%. We've also read a lot of online reviews and have seen this come up repeatedly. We feel reasonably confident that this is a common decision point in choosing a pillow," said Koshi.

"I'm glad you are approaching this with rigor and actually calculating metrics from your observations," said Samantha. "That will prevent you from letting innate biases override your actual results. However, one word of advice. At this stage, don't take any of your statistics too literally and don't let any single number dominate your strategic thinking. Just as we're not looking for statistical significance at this point, we also don't want to start treating our results as if they are indisputable facts. How about the next assumption?"

2. We believe that we can sell online directly to customers.

"We have seen some promising signs. 77% of our urban professionals start researching purchases with a search engine. The question is whether they would discover, visit, or convert with our

online store. We did see a ton of mobile usage in the retail stores and think there might be a chance to steal those customers if we have good enough search engine optimization. Overall, our conclusion is that we need more data here."

3. We believe that our customers will be young urban professionals.

"I need to run some numbers on size of market and the number of purchases we might expect from this group, but we still feel like this is a good group for us. We clearly saw purchase behavior. They want, and can afford, quality things, and prefer to buy things online."

4. We believe that our very first customers will be new graduates who need to outfit their apartments.

"This is where we were totally wrong. Buying behavior, or at least the willingness to buy something that isn't the cheapest option, did not seem to be very prevalent among new grads. Only 25% of the newly minted grads we spoke with had purchased a pillow on their own. Instead, the evidence points us towards people in their mid-to-late twenties or early thirties.

"We also saw a correlation between purchasing and life changes. While this was only 37% with our retail shoppers, it was 70% of our urban professionals. From an early adopter perspective, I wonder if we can do well targeting people who are getting married or moving to a larger apartment or house?"

5. We believe we can sell our pillows at a high enough price to cover our costs.

"45% of our retail shoppers bought at least a mid-priced pillow. We admit that we visited reasonably high-end stores, but that was still a nice statistic to see. The good news is that our initial target price is comparable with the high-end of the current market. We

won't be profitable at the beginning, but if we can scale and improve our manufacturing process then we can move into the black. Of course, they have to want to buy *our* pillow."

Samantha nodded. "To test that, you will need to actually try selling a few, which ties back to your second risk. But I'm glad you have spent time learning rather than rushing to sell. Overall, it sounds like you have gotten some solid intel. I'm also glad you caught the issue with college grads before you spent a lot of money and energy trying to target them. Have your efforts uncovered new risks or worries?"

"I'm both excited and worried by how confused customers are," Koshi said. "Every brand promises a better night's sleep. I'm also worried about signals we picked up that the market might be divided into those who want a firm pillow versus a soft pillow. We think that's erroneous thinking. Our pillow lands in the middle, and our studies show better results. I don't know if people will believe our data. We really need to get the messaging right."

"As for me," Roberta said, "I'm most worried about the size of our initial market, how quickly we could grow, and if we can survive to profitability."

"I'm not surprised," said Samantha. "I have some suggestions. One of you should continue doing these interviews, but try adding a new spin. You are both worried about differentiation and if people will understand or appreciate the proof from your scientific studies. Let's test some messaging. Given what you have said about mobile usage, maybe create an infographic that tries to make your case. Show it to people on a phone. Ask them to explain it to you. First you can see if they understand it, and then if they find it meaningful.

"Expanding from qualitative research, I also think one of you should create a financial model that lets you play with how much

you charge, how many items you might sell, and what your costs will be. Take into account what you have learned so far and see if your business model adds up.

"Finally, I think you've learned enough to run some experiments around customer acquisition and sales. It is straightforward to create a basic online store using one of the hosted services. You can test selling a few pillows before you invest in manufacturing capability. Try driving traffic through Google or Facebook ads, and run some A/B tests around ad copy, landing-page messaging and price points. Study your metrics. Then follow up with your customers and interview them on their buying process and decision."

Roberta's eyes widened. "Wow. Maybe we can get our first paying customer!"

"Exactly," said Samantha. "Just remember phrase about startups: you are in search of a scalable and repeatable business model. Run these experiments and keep in mind that your mission at this point is to learn before you scale. Don't stop talking directly to customers. Your questions will likely evolve, but no matter what stage you are in, you'll usually find that your best insights will come from talking to real people and observing real behavior."

Lessons Learned



So what are the key takeaways from Roberta and Koshi's adventure?

1. Customer discovery is about gaining much deeper insight into your customer, or your partners, or your market
2. Being told your idea is cool is not useful; seeing behavior that validates your customer's willingness to buy is very useful
3. Prepare an interview guide before you get out of the building
4. To ask the right questions, you need to understand your risks and assumptions
5. Get creative when trying to recruit people — if at first you don't succeed, try something new
6. Sometimes observation is as powerful as interviews
7. Take good notes, especially on your key risks, so that you can calculate metrics later. Even better, set your target goals ahead of time!
8. Bring learning back and analyze your patterns as a team
9. Never stop asking hard questions about your business

In the next section of this book, we're going to dive into tactics and talk about all this and more in detail.

PART TWO

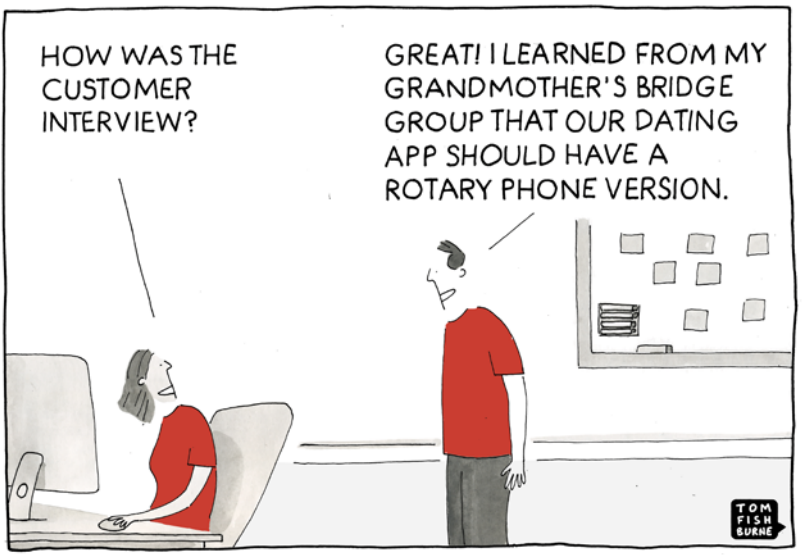
How To

research, i.e. talking to humans, is something you never want to stop doing, but it can definitely feel intimidating at first. The good news is that if you go about it in a professional and thoughtful way, you will find lots of people who are willing to help and give you some of their valuable time.

You need to begin with a core set of questions:

- Who do you want to learn from?
- What do you want to learn?
- How will you get to them?
- How can you ensure an effective session?
- How do you make sense of what you learn?

Who Do You Want to Learn From?



If your desired customer is a doctor, it stands to reason that it won't help you much talking to a plumber. If you were aiming for teenagers, would you talk to grandparents?

The first step in trying to learn from the market is having an opinion about who your market actually is. I recommend thinking about a few categories:

- The typical customer you envision if you get traction with your idea
- Your early adopter, i.e. the people who will take a chance on your product before anyone else
- Critical partners for distribution, fulfillment, or other parts of your business

You might think you are creating a product for "everyone", but that is not an actionable or useful description in the early stages. You need to get more specific. Your job is to think through the kinds of people who have the problem you are interested in solving. Sometimes they have a particular job, or a state of mind, live in a particular part of the world, or belong to a certain age group. Standard demographics might be useful, or they might be irrelevant. What are the commonalities across *your* customer base?

Here are some examples:

- A hospital management system has to think about the hospital administrator who will buy their software and the actual hospital workers who would use it
- An on-call veterinarian service needs to talk to pet owners
- An online marketplace for plumbers might consider plumbers on the sell side, and home owners on the buy side

You also want to think about your early adopters. Why do they matter? Most new products fit alongside a "technology adoption curve," as illustrated below.

New founders tend to obsess about their mainstream customer (represented in the chart as the early and late majority). However, by definition, the mainstream is waiting for proof from early adopters before they try something. If you cannot get early adopters, you cannot move on. Early adopters are usually folks who feel a pain point acutely, or love to try new products and services.

In our story of Koshi and Roberta, the scientists hypothesized that their early adopter would be urban professionals in their mid to late twenties. For the three customer examples we just gave, here are examples of early adopters:

- Our hospital management system might target hospital chains still stuck with an archaic vendor
- Our vet service might target busy 20-somethings in a major city
- Our online market for plumbers might target solo practices on the sell-side and first-time home owners on the buy-side

There is no prescription for how narrowly or broadly you should cast your net for customer discovery interviews. However, the more focused you can be, the easier it is to make sense of your evidence.

Special Note for B2B Products

If you are selling to the enterprise, you should also think about the different kinds of participants in your sales process. In a classic enterprise sale, you will often have a strategic buyer (who is excited about the change you can bring), an economic buyer (who controls the purse), a technical buyer (who might have approval/blocker rights), and then the actual users of your product. Can you identify your champion? Can you identify who might be a saboteur?

For B2B companies, also recommends that you start by talking to mid-level managers rather than the C-suite. It can be easier to get their time, it is often easier to get repeat conversations, and, most importantly, it will allow you to get better educated before you go up the chain.

What Do You Want to Learn?



Go into every customer interview with a prepared list of questions. This list, which we refer to as an interview guide, will keep you organized. You will appear more professional, and it will ensure that you get to your most important questions early.

How do you know your most important questions?

I like to begin by understanding my most important, and most risky, assumptions. Those tend to be the areas where you need to gather insights most urgently. You can uncover your assumptions in a myriad of ways. You can use business model canvas or lean canvas. Personally, I ask these questions (*see the Appendix for a worksheet and tips*):

- My target customer will be?
- The problem my customer wants to solve is?
- My customer's need can be solved with?
- Why can't my customer solve this today?
- The measurable outcome my customer wants to achieve is?
- My primary customer acquisition tactic will be?
- My earliest adopter will be?
- I will make money (revenue) by?
- My primary competition will be?
- I will beat my competitors primarily because of?
- My biggest risk to financial viability is?
- My biggest technical or engineering risk is?
- What assumptions do we have that, if proven wrong, would cause this business to fail? (*Tip: include market size in this list*)

You should be able to look at this list and spot the assumptions that are both highly important and fairly uncertain. Be honest. You want to focus on the most important issues.

In the case of our pillow entrepreneurs, they chose six initial risks which drove their research approach and first set of questions. To give another scenario, in the last chapter we shared the example of an on-call veterinarian service. The founders might identify a set of risks:

1. Pet owners are frustrated having to go to a vet and would rather have someone come to them
2. Customers are willing to pay a big premium to have a vet show up at their door
3. We think busy urbanite pet owners will be our early adopters
4. We think people currently discover their vets either through word of mouth or online searches
5. We can affordably acquire our customers through targeted Google search ads
6. We can recruit enough vets across the country to make this a big enough business
7. With travel baked in, our vets can see enough people in a day to be financially viable

Not every assumption can be tested effectively through qualitative research, but in this case, our founders can probably get some insights on risks 1, 3, 4, and 6 just by talking to people. Risks 1, 3 and 4 would be focused on pet owners, while #6 would be focused on vets.

Get Stories, Not Speculation

When you are contemplating your questions, be careful with speculation. Humans are spectacularly bad at predicting their future behavior. It is tempting to say, "Would you like this idea?" or "Would you buy this product?" Unfortunately, you really have to treat those

answers with a great deal of skepticism.

It is more effective to ask your interview subject to share a story about the past. For example, when our fictional scientists Koshi and Roberta created their interview plan, the questions were focused on getting the interviewee to tell a story about their last pillow buying experience.

Keeping with our second example of an on-call vet service, the team might have a loose interview plan that looks like the following:

- Warm up: concise intro on the purpose of the conversation
- Warm up: basic questions about person and pet (name, age, picture)
- Who is your current vet? Can you tell me about how you found and chose him/her?
- Please describe the last time you had to take your pet to the vet for a checkup
- Walk me through the process of scheduling a time to visit the vet.
- What was frustrating about that experience?
- What did you like about that experience?
- Have you ever had an emergency visit to a vet? if yes, can you describe that experience for me?
- Have you ever thought about changing vets? why / why not?

Ask Open-Ended Questions

Your goal is to talk little and get the other person sharing openly. To that end, it is imperative that you structure open-ended questions, or at minimum follow up yes/no questions with an open-ended question that gets them talking.

One tip is to try to ask questions that start with words like *who, what, why* and *how*. Avoid questions that start with *is, are, would,* and *do you*. But remember, if you do get a yes/no answer to a

question, you can always follow up in a way that gets them talking.

An interesting open-ended question, which likes to use to conclude his interviews, is: "What should I have asked you that I didn't?"

Testing for Price

Two of the hardest questions to answer through qualitative research are: *will people pay?* and *how much will they pay?* Speculative answers on this topic are extremely suspect. You can learn a lot, however, by asking questions like:

- How much do you currently spend to address this problem?
- What budget do you have allocated to this, and who controls it?
- How much would you pay to make this problem go away? *(this can lead to interesting answers as long as you don't take answers too literally)*

My recommendation is to set up a situation where the subject thinks they are actually buying something, even if they know the thing doesn't exist yet. Kickstarter and other crowdfunding platforms are used by a lot of teams to test pre-order demand.

For expensive corporate products, you can also try to get customers to buy in advance or sign a non-binding letter of intent to buy. The key thing to remember is that people don't honestly think about willingness to pay unless they feel like it is a *real* transaction.

Getting Feedback on a Prototype

Sometimes you will want to get reactions to a product solution. You can learn a lot by putting mockups or prototypes in front of people, but, as with all speculation, you should interpret reactions with a degree of skepticism.

If you show your interview subject a proposed solution, you need to separate this step from your questions about their behavior.

Ask your questions about behavior and challenges first, so that the discussion about product features does not poison or take over the conversation. People do love talking features!

The Magic Wand Question

Some people like to ask, "if you could wave a magic wand and have this product do whatever you want, what would it do?" Personally, I avoid questions like this because customers are too constrained by their current reality to design effective solutions. It is the customer's job to explain their behavior, goals, and challenges. It is the product designer's job to come up with the best solution.

There is one variation to the magic wand question that I do like, however, because it focuses on problems and not solutions: *"If you could wave a magic wand and solve any problem, what would you want to solve?"* I suspect, however, that you will find many people struggle with such an open question.

Design "Pass/Fail" Tests

Customer discovery is made up of a lot of qualitative research, but it helps to take a quantitative mindset. Set goals for key questions and track results. For example, halfway through their initial research, our scientists Koshi and Roberta already knew stats like:

- 24% of shoppers knew what they wanted when they walked in
- 45% of shoppers purchased a mid-priced or high-priced pillow
- 68% of the shoppers we spoke to indicated that better sleep was a major driver of their choice

Even better would have been if they had set targets ahead of time. For example, they might have set the following goals:

- Because we are a new brand, we are hoping that most shoppers are undecided. We want to see that 40% or fewer shoppers already know what

they want when they walk in

- Because our pillow is expensive, we want to see that at least 40% of the shoppers buy mid or high-end models
- Because we believe that sleep quality is a major differentiator for our product, we want over 60% of shoppers to indicate that this is a major factor in their decision making process

The numerical target you choose can be an educated guess. You do not need to stress over picking the perfect number. It is more important that you set a goal and really track what is happening. Setting a target forces you carefully think through what you are hoping to see, and makes decisions and judgment calls a bit easier as you review your data.

A Guide, Not a Script

An interview guide is not a script. You do not need to read from it like an automaton. You should feel free to veer off of it if the conversation brings up something interesting and new. It will likely evolve as you learn from the market and unearth new questions. But always plan, prioritize and prep your questions before any session.

Observation Can Be As Powerful As Questions

Sometimes the best thing you can do is sit back and watch someone's behavior. You might watch their purchase process, or examine how they go about solving a particular problem. As you think about what you want to learn, also think through how you might gather data through observation rather than direct interviews.

In our story of Koshi and Roberta, the two got some of their most valuable insights by going to linen stores and watching potential customers struggle to buy a pillow. They observed behavior and only then jumped in to ask questions.

This technique cannot always be used. For example, when my

team was trying to validate a weight loss product idea, it did not feel practical to watch people go about their diet. Instead we did interviews and then put a group of customers through a two-week concierge experiment (*see Glossary*) where we manually acted out the diet experience. But, where possible, observing uninfluenced behavior can lead to great insights.

How Do You Find Your Interview Subjects?



Entrepreneurs new to customer development are often intimidated at the thought of approaching complete strangers. It might surprise you to hear that people are often very willing to help out. This is especially true if you are working on a topic that interests them and you approach them nicely and professionally. There are three general rules to keep in mind when recruiting candidates to speak with:

1. Try to get one degree of separation away *(don't interview your mom, your uncle, or your best friends)*
2. Be creative *(and don't expect people to come to you)*
3. Fish where the fish are *(and not where they are not)*

Get Creative

One aspiring entrepreneur wanted to target mothers of young children. She had heard stories about talking to people in a coffee shop, but felt like it was too unfocused. So she tried hanging around school pickup zones, but the moms were too busy and refused to speak to her. Next, she tried the playground, where she figured moms would be bored watching their kids play. This worked reasonably well, but she was only able to get a few minutes of anyone's time. So instead, she started organizing evening events for moms at a local spa where she bought them pedicures and wine. The time of day worked because the moms could leave the kids at home with their partner. The attendees had a great time and were happy to talk while they were getting their nails done.

Find the Moment of Pain

If you can connect with people at the moment of their theoretical pain, it can be very illuminating. My colleague was working with an automotive company and they had a concept tied

to the experience of getting gas. So Alexa and team visited a series of gas stations. They watched consumers go through the process of buying gas. Then they approached them and asked questions. By thinking about the moment of pain they wanted to address, they knew exactly where to find their consumers and they were able to gather valuable observational research.

Make Referrals Happen

Use referrals to your advantage. Let's say you want to talk to doctors. They are busy and have strong gatekeepers. I bet you know how to get to at least one doctor, however. That doctor will know other doctors. Even if your doctor happens to be a close friend and thus breaks the "more than one degree of separation" guideline, she can still give you advice on when might be a good time to talk to a doctor. She can also connect you with other doctors.

You should use referrals as much as possible. **Set a goal of walking out of every interview with 2 or 3 new candidates.** When you end an interview, ask the person if they know others who face the problem you are trying to solve. If they feel like you have respected their time, they will often be willing to introduce you to others.

Conferences & Meetups

Conferences and meetups can be an amazing recruiting ground, because they bring a group of people with shared interests into one place. You just need to be respectful of people's time. I have found that it is extremely effective to ask people for their time, but for *later,* after the conference or meetup. Get their business card, let them get back to networking, and then have an in-depth conversation when it fits their schedule. Immediately after the conference while their memories are still fresh, send them a short email that reminds them where you met, and give your ask for a conversation. This

works as effectively for in-demand panel speakers as it does for other attendees.

Meetups are usually inexpensive, but conference tickets can be pricey. If you are on a budget, you can "hack" expensive conferences by intercepting people outside of the building, or, if you can get access to the attendee or speaker lists ahead of time, contacting people directly and meeting them near the event.

Meetup.com has decent search tools to discover relevant events in your area, and a few good Google search queries can usually get you to a short list of conferences that fit your needs.

Enterprise Customers

Finding interviewees can be harder when you are focused on an enterprise customer. You need laser-like targeting. In addition to conferences, LinkedIn can be extremely useful. If you have hypotheses on the titles of the people you are seeking, run searches on LinkedIn. You might be able to get to them through a referral over LinkedIn, or you might need to cold call them through their company's main phone number. You then have to decide on your approach method. You can either ask for advice (where you make it clear that you are not selling anything), or you can go in as if you were selling something specific.

Advice vs Selling

Asking for advice should be your default method early in your customer discovery process. You will have better luck gaining access. People like being asked (it makes them feel important).
used to call people up and say something like, "My name is Steve and [dropped name] told me you were one of the smartest people in the industry and you had really valuable advice to offer. I'm not trying to sell you anything, but was hoping to get 20 minutes of your time."

Another effective spin on "asking for advice" is to create a blog focused on your problem space, and ask people if you can interview them for an article.

When do you approach someone as if you were selling a product? This method is useful if you are past initial learning and want to test your assumptions around customer acquisition and messaging. Just don't jump into sales mode too early.

Benefitting from Gatekeepers

If LinkedIn isn't helping you and you need to reach high up in an organization, another approach is to call the CEO's office. Your goal is not to talk to the CEO but actually their executive assistant. His job is to be an effective gatekeeper, so if you explain, "I'm looking to talk to the person who handles X", they will often connect you to the right person (especially if you are pleasant and professional — notice the trend on that one?). The added advantage of this method is if you end up leaving a voice mail for your intended contact, you can say "Jim from [CEO's name]'s office gave me your name". Dropping the boss' name tends to improve response rates.

Another approach is to send a targeted email into an organization with a very short email that asks for an introduction to the right person to speak to. You can make guesses as to email addresses based on LinkedIn queries. For this tactic to work, you must keep your emails extremely concise.

Students and Researchers

While people are willing to grant time to polite people who ask for advice, you have an extra advantage if you are a student or academic researcher. In other words, if you are a student or researcher, say so. As an extra incentive, you might also offer to share the results of your research with your interview subjects.

You Might Be Surprised

Another colleague of mine, , was working with a Fortune 50 company. The client team wanted to interview a special kind of oil platform engineer, of which there were less than 20 in the world! To access these people required security clearance and safety training. We challenged the team to find a way, expecting that they would have to rely on video conferencing or phone calls. However, the team started researching this speciality profession through Google and discovered that there was an onshore training facility just an hour away. The moral of the story is that it often isn't as hard as you think.

No Fish in the Sea

When I say fish where the fish are, it is really important to remember the flip side to that statement: *don't fish where the fish are not*. If a method isn't working, try something new.

We were doing a project with a major magazine testing out new product ideas. Our target was busy women, and we knew that the readership correlated closely with shoppers of The Container Store (a retail store). So we parked out front of a store and intercepted folks as they came in and out. People were willing to speak for a few minutes, but many were in a bit too much of a rush. Then one of our teammates discovered a sample sale happening around the corner. There were probably 200 bored women waiting in line, most of whom were happy to talk to us to pass the time. *(Note: finding bored people stuck in line is a common recruiting hack.)*

Still, we didn't feel like we were targeting quite as narrowly as we wanted (busy, working women) or as geographically broadly (we didn't want to just talk to New Yorkers). So we turned to the magazine's social media presence. We created a short online survey to help us qualify responses, and the magazine posted a link to their Twitter and Facebook pages with a catchy sentence. We had hundreds of women fill out the survey, and then we picked our top

thirty candidates and scheduled calls.

Online Forms & s

In a similar vein, one effective tactic is to create an online form or and build up a list of people to contact.

Below is an example of a . Our team was testing a product idea for better home organization.

This test actually consisted of a three-step funnel with a call to action, a price choice, and then a request for an email address. We tracked the conversion metrics carefully and used the emails to schedule interviews.

Caveat: driving traffic is never a trivial process. If you have budget, Google or Facebook ads can work. Otherwise, you can try to generate some word of mouth on social media or through bloggers.

Conclusion

Hopefully what you are picking up through these examples is that there is no single way to get to people. It takes some creativity and hustle, but it isn't as hard as you might think. Trust me, people will not think you are rude if you carry yourself well and act professionally.

Check Out the Appendix for Examples

The Appendix has more tips and examples for cold email and voice mail approaches.

How to Ensure an Effective Session?



I recommend the following guidelines for running a productive interview session.

Do Your Interviews In Person

The quality of your learning can vary a lot depending on your communication method. Talking in person is by far the best approach. You can read body language and build rapport much easier. Remember that a huge percentage of human communication is non-verbal, so why blind your senses if you don't have to?

The next best approach is video conferencing, because at least you can still read someone's facial expressions.

Phone calls should be your method of last resort (sometimes there is no choice), and I would entirely avoid using text-based mediums like email or chat.

Talk to One Person at a Time

I believe in talking to one person at a time. It is useful to have a second person on your side quietly taking notes. I strongly recommend avoiding focus groups for two reasons: 1. you want to avoid group think; 2. you will really struggle to focus on one person's stories, and drill into areas of interest, when you are juggling multiple people.

Adding

Bringing will allow you to stay in the moment without worrying about getting every bit down on paper. You can stay focused on the topics, the body language, and where to take the conversation.

If you have to take your own notes, that's not the end of the world. It can sometimes make for a more intimate conversation. Just remember to write up your notes right after the session or you will lose a lot of detail and color that you weren't able to write down.

You can also ask the interview subject if you can record them,

and many people are willing. The risk is that a recorder can inhibit the conversation, but most people forget that they are being recorded once the discussion is flowing. I *highly recommend* that you play back the audio and write up your notes soon after the session, both because writing up notes will reinforce what you learned in your own mind, and also because written notes are easier and faster for both you and your teammates to scan. I've found that once audio or video is more than a couple weeks old, somehow they never get touched again.

Start With a Warm Up & Keep It Human

When you kick things off, concisely explain why you are there, and thank them for the time. Launch into things with one or two easy warm up questions. For example, if you are talking to a consumer, you might ask where they are from and what they do for a living. If you are talking to enterprise, you might ask how long they have been with their company. You don't want to spend a lot of time on this stuff, but it does get the ball rolling.

Have a written or printed list of questions, but don't rigidly read from your list. Be in the moment. Make the interview subject feel like you are really listening to them.

Disarm Your Own Biases

Human beings have an amazing ability to hear what they want to hear (this is called "confirmation bias"). Go into each session prepared to hear things that you might not want to hear. Some entrepreneurs even take the mindset that they are trying to kill their idea, rather than support it, just to set the bar high and prevent themselves from leading the witness.

Get Them to Tell a Story

As I mentioned in the chapter "What Do You Want to Learn,"

humans are terrible at predicting their own behavior. If you ask any speculative questions, be prepared to listen with a healthy dose of skepticism. I far prefer to get people telling stories about how they experienced a problem area in the past. In particular, try to find out if they have tried to solve the problem. What triggered their search for a solution? How did they look for a solution? What did they think the solution would do, before they tried it? How did that particular solution work out? And if they are struggling to remember specifics, help them set the scene of their story: what part of the year or time of day? Were you with anyone?

As they are telling their story, follow up with questions about their emotional state. You might get some historical revisionism, but what you hear can be very illuminating.

The researchers at Meetup.com, who borrow from Clayton *To Be Done* framework, use an interesting tactic to help their subjects get in story mode. When they are asking someone to take them through a purchase experience, from first thought through purchase and then actual product usage, they say: "Imagine you are filming the documentary of your life. Pretend you are filming the scene, watching the actor playing you. At this moment, what is their emotion, what are they feeling?"

Look for Solution Hacks

One of the best indicators that the market needs a new or better solution is that some people are not just accepting their frustration with a particular problem, but they are actively trying to solve it. Maybe they have tried a few different solutions. Maybe they have tried hacking together their own solution. These stories are a great indicator of market need.

Understanding Priority

For someone to try a new product, their pain usually needs to be

acute enough that they will change their behavior, take a risk, and even pay for it. If you feel like you are seeing good evidence that someone actually has a problem, it is worth asking where it ranks in their list of things to solve. Is it their #1 pain, or something too low in priority to warrant attention and budget?

Listen, Don't Talk

Try to shut up as much as possible. Try to keep your questions short and unbiased (i.e. don't embed the answer you want to hear into the question).

Don't rush to fill the "space" when the customer pauses, because they might be thinking or have more to say. Make sure you are learning, not selling! Or, at least make sure you are not in "sales" mode until the point when you actually do try to close a sale as part of an experiment.

Follow Your Nose and

Anytime something tweaks your antenna, with follow up questions. Don't be afraid to ask for clarifications and the "why" behind the "what." You can even try drilling into multiple layers of "why" (run an Internet search for "Five Whys" for more info), as long as the interviewee doesn't start getting annoyed.

or Misrepresent to Confirm

For important topics, try repeating back what the person said. You can occasionally get one of two interesting results. They might correct you because you've misinterpreted what they said. Or, by hearing their own thoughts, they'll actually realize that their true opinion is slightly different, and they will give you a second, more sophisticated answer.

Another approach is to purposefully misrepresent what they just said when you parrot it back, and then see if they correct you. But

use this technique sparingly, if at all.

Do a Dry Run

If you are a beginner at customer discovery, do a dry run with a friend or colleague. See how your questions feel coming out of your mouth. Get a sense of what it is like to listen carefully and occasionally improvise.

Getting Feedback on Your Product

If you want to get feedback on your product ideas, whether you show simple mockups or a more polished demo, there are a few important tips to keep in mind:

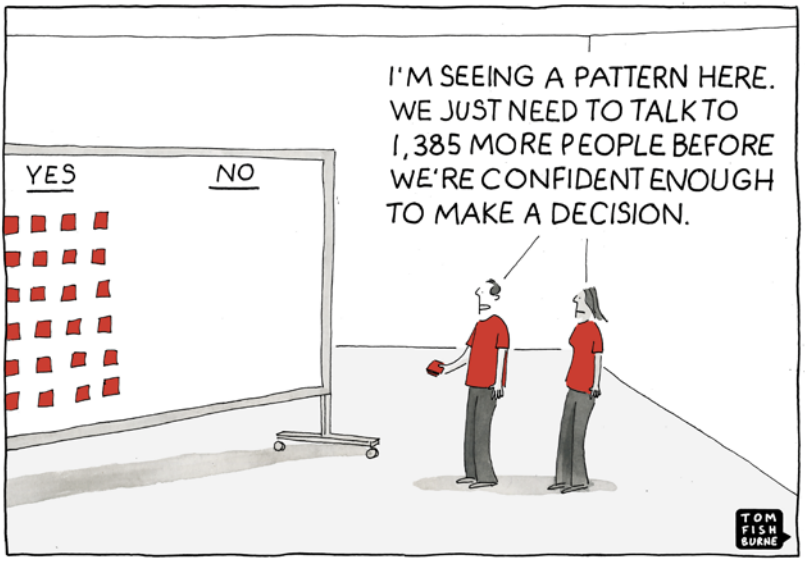
As I mentioned before, separate the storytelling part of your session from the feedback part. People love to brainstorm on features and solutions, and this will end up influencing the stories they might tell. So dig into their stories first, and gather any feedback second.

Second, disarm their politeness training. People are trained not to call your baby ugly. You need to make them feel safe to do this. Ask them up-front to be brutally honest, and explain that it is the very best way for them to help you. If they seem confused, explain that the worst thing that could happen is to build something people didn't care about.

Finally, keep in mind that it is incredibly easy for people to tell you that they like your product. Don't trust this feedback. Instead, you need to put people through an actual experience and watch their behavior or try to get them to open their wallet.

There is no right answer on how polished your early mockups need to be. If you are in the fashion space, you need to have a high degree of visual polish as table stakes. If you are creating a solution for engineers, you probably need much less. Just don't wait for perfection, because initial product versions rarely get everything right. You need to spot your errors sooner rather than later.

How Do You Make Sense of What You Learn?



Your goal is not to learn for learning's sake. Your goal is to make better decisions that increase the odds of success. So how do you translate your observations into decisions?

The first step is to make sense of your patterns.

Take Good Notes

To find your patterns, first you need to track the data. This is easy if you bring a good notetaker to the interview, but otherwise, make sure that you write up your notes as soon after your conversation as possible. Make them available to the entire team with Google Docs or the equivalent.

At the start of every entry, note the following information:

- Name of interview subject
- Date and time
- Name of interviewer
- In person or video conference
- Photo (if you have one)

Then at the start of your notes, include basic descriptive information of the interview subject.

If you are setting specific metric goals for your interviews, you might set up a shared spreadsheet that essentially acts as a running scorecard for how you are doing and how you are tracking to targets.

EXAMPLE

Let's imagine that you have invented a new air purifier that triples the growth speed of greenhouse plants. Now you plan to talk to 20

farmers, and you have a few core questions:

- Will their business actually benefit from increased growth speed? You are assuming that increased volume will help rather than hurt. You plan to talk to growers of different crops with the goal of finding crops where 60% or more of farmers want increased volume.
- Are farmers spending any money today on growth accelerator solutions? Your qualitative research will drill into what and why, but your metrics goal says that you hope at least 50% of the market is already spending at least some money.
- Do they have the facilities to support your purifier? In this case, you need your purifier to be both in a specific location, but also have access to an electrical outlet. You are hoping that 70% of the farmers have an outlet 20 feet or closer to your spot.

Here is the kind of spreadsheet that you and your team might track:

As Samantha advised Koshi and Roberta in the fictional story, turning your observations into quantifiable metrics is both useful and tricky. Our brains like to influence our thinking with cognitive biases, especially filtering results for what we want to hear. Calculating actual metrics helps fight against that dynamic.

At the same time, you have to beware a different kind of bias: our desire to turn statistics into facts. Hopefully you are getting enough data points that you can trust the patterns, but do not confuse this with statistical significance or take your results too literally. My advice is to calculate metrics, but remain skeptical of them, don't obsess over any one particular metric, and continue to question what is behind your numbers.

Dump and Sort Exercise

Bring your team together and arm them with sticky notes and sharpies. Give everyone 10 minutes to jot down as many patterns and observations as they saw during their interviews. Put all the sticky notes on a wall and have someone sort them into groups. As a team, discuss the patterns, and then re-review your assumptions or business canvas and see what might need to change or require greater investigation.

Look for Patterns and Apply Judgement

Customer development interviews will not give you statistically significant data, but they will give you insights based on patterns. They can be very tricky to interpret, because what people say is not always what they do. You don't want to react too strongly to any single person's comments. You don't want to take things too literally. But neither do you want to be bogged down trying to talk to thousands of people before you can make a decision.

You need to use your judgement to read between the lines, to read body language, to try to understand context and agendas, and to filter out biases based on the types of people in your pool of interviewees. But it is exactly the ability to use human judgement based on human connections that make interviews so much more useful than surveys.

Ultimately, you are better off moving fast and making decisions

from credible patterns than dithering about in analysis paralysis.

Don't Abdicate Your Role As Product Designer

It is not the job of the customer to design your product. It is yours. As you are gathering information and making decisions, act like a intelligent filter, not an order-taker.

Expect False Positives

While all entrepreneurs get their fair share of naysayers and skeptics, you have to be wary of the opposite problem in customer development interviews. People will want to be helpful and nice, and your brain will want to hear nice things. As you are weighing what you have learned, just keep this in mind.

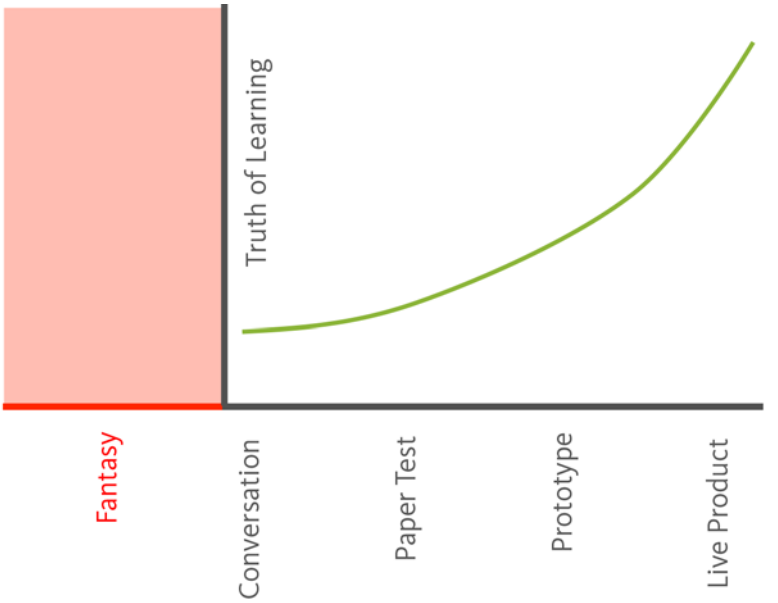
The Truth Curve

I am a big believer in qualitative research. I think a good product team should build a regular cadence of talking to relevant people into their process. However, you don't want your only source of learning to be talking to people.

You don't really know the absolute truth about your product until it is live and people are truly using it and you are making real money from it. But that does not mean you should jump straight to a live product, because that is a very expensive and slow way to iterate your new business.

Get into the market early and begin testing your assumptions right away, starting with conversations and proceeding from there. It will dramatically increase the odds that you will create a product that customers actually want. As you build confidence, test with increasing levels of fidelity. I think of it like peeling an onion in reverse.

I created the accompanying chart to demonstrate the levels of believability for different kinds of experiments.



Talking to people is powerful. It tends to give you your biggest leaps of insight, but, as I keep on repeating, what people say is not what they do. You might show people mockups and that might give you another level of learning and feedback, but reactions still need to be taken with skepticism. Concierge and "Wizard of Oz" experiments, where you fake the product through manual labor (*see Glossary*) will give you stronger evidence, because you put people through an experience and watch their actions. The next layers of the onion are to test with a truly functional "Minimum Viable Product" (*see Glossary*) and beyond.

The point I want to make is that all of the steps on the curve can be very useful to help you learn, make smarter decisions, and reduce risk, but you need to use your head, and apply judgement to everything you are learning.

How many people to talk to?

There is no pat answer to this question. A consumer business should talk to an order of magnitude more people than a business that sells to enterprise. If you are in the consumer space and haven't spoken to at least 50 to 100 people, you probably have not done enough research. In his I-Corps course, requires his teams, many of which are B2B, to talk to at least 100 people over 7 weeks.

I advise that you never stop talking to potential customers, but you will probably evolve what you seek to learn. If you see the same patterns over and over again, you might change things up and examine different assumptions and risks. For example, if you feel like you have a firm understanding of your customer's true need, you might move on to exploring how they learn about and purchase solutions in your product category today.

And don't forget that observing your customers can be as powerful as directly talking to them.

Lead with Vision

Customer Development and lean startup techniques are some of the most powerful ways to increase your odds of success, but they are not a replacement for vision. You need to start with vision. You need to start with how you want to improve the world and add value to people's lives. The techniques we've discussed in this book are among a body of techniques that let you reality check your vision, and optimize the path you will take to achieve your vision.

Conclusion

Thoughtful qualitative research is a critical tool for any entrepreneur. Hopefully this book has given you some new strategies for how to put it to work for your needs.

Creating a new business is tremendously challenging. The ways you can fail are numerous.

- You have to get the customer and market right
- You have to get the revenue model right
- You have to get the cost structure right
- You have to get customer acquisition right
- You have to get the product right
- You have to get the team right
- You have to get your timing right

Screw up any one of those and you are toast. There is a reason why entrepreneurship is not for the faint of heart.

But we're not here to be faint of heart. We are here to change the world.

Dream big. Be passionate. Just be ruthless with your ideas and assumptions. Customer discovery and lean experimentation can truly help you chart a better path and find success faster and with more capital efficiency.

Don't forget that as your business grows and changes, so too will your customer base. Keep on reality-checking your hypotheses. Keep on talking to humans.

PART THREE

Appendix

Cold Approach Examples

When you are trying to reach someone you do not know, there are a few things to remember:

1. Keep things concise
2. Keep things convenient (meet near their office, etc)
3. Name drop when you can
4. Follow up if you don't hear an answer, but don't be annoying
5. If you are leaving a voice mail, practice it first (*you might think it sounds practiced, but to others, it will sound more professional*)

Ex

To:
Fro

John,

I received your name from . He said that you had a lot of expertise in an area I am researchin ended that we speak.

I'm trying to study how companies are handling their expense report management workflows and the frustrations they are experiencing. I would be happy to share my research conclusions with you.

Would you have 30 minutes to spare next week when I could buy you a cup of coffee and ask you a few questions?

Many thanks for your time and I look forward to hearing from you,

Ex

To:
Fro

John,

I have been working on some new solutions in the area of expense report management, and I was told that you have a lot of expertise in this area.

We started this journey because of personal frustration, and we're trying to figure out how to make expense reporting much less painful. Would you have 30 minutes to give us some advice, and share some of your experiences in this domain?

I assure you that I'm not selling anything. I would be happy to come by your office or arrange a quick video conference, at your preference.

Many thanks,

Voice Mail Message

"Hello, my name is . I was referred to you by , who said I would benefit from ce. I am currently resear mpanies are handling their expense management workflows. I understand you have a lot of expertise in this area. I was hoping to take just 30 minutes of your time to ask you a few questions. I'm not selling anything and I wou share my re clu You can reach me at . Again, this is , at , and thank you for y

calling is never anyone's favorite thing to do, but it isn't nearly as painful as you imagine. You have nothing to lose and everything to gain. So give yourself a determined smile in the mirror, and go get them!

Business Assumptions Exercise

I am agnostic about the framework you choose to use to map out your business assumptions. business model canvas and lean canvas are both powerful tools. I also often find myself using this simple set of questions to lay out a belief system around an idea:

Try to make your assumptions as concise and specific as possible. You want to be able to run an experiment against it to see if it is true.

My target customer will be?

(Tip: how would you describe your primary target customer)

The problem my customer wants to solve is?

(Tip: what does your customer struggle with or what need do they want to fulfill)

My customer's need can be solved with?

(Tip: give a very concise description / elevator pitch of your product)

Why can't my customer solve this today?

(Tip: what are the obstacles that have prevented my customer from solving this already)

The measurable outcome my customer wants to achieve is?

(Tip: what measurable change in your your customer's life makes them love your product)

My primary customer acquisition tactic will be?

(Tip: you will likely have multiple marketing channels, but there is often one method, at most two, that dominates your customer acquisition – what is your current guess)

My earliest adopter will be?

(Tip: remember that you can't get to the mainstream customer without getting early adopters first)

I will make money (revenue) by?

(Tip: don't list all the ideas for making money, but pick your primary one)

My primary competition will be?

(Tip: think about both direct and indirect competition)

I will beat my competitors primarily because of?

(Tip: what truly differentiates you from the competition?)

My biggest risk to financial viability is?

(Tip: what could prevent you from getting to breakeven? is there something baked into your revenue or cost model that you can de-risk?)

My biggest technical or engineering risk is?

(Tip: is there a major technical challenge that might hinder building your product?)

And then answer the following open-ended question. Be creative and really examine your points of failure.

What assumptions do we have that, if proven wrong, would cause this business to fail?

1.

2.

3.

4.

5.

6.

7.

8.

9.

10.

11.

12.

After you have looked at your business holistically and also answered the broad final question, mark the assumptions that would have a large impact on your business **and** feel highly uncertain.

Now you know your priorities for customer discovery and the experiments you need to run!

Teaching Exercise #1: Mock Interviews

If you are using this book to try to teach customer discovery/development, there is nothing like real-world practice to make learning stick.

Before you send your class out into the world to conduct their own interviews, however, you might try a compact exercise like the following:

Tools

All participants should have pen and paper

Preface: Choose a Topic

Everyone in the class will interview each other based on the same topic, which means it needs to be something most people can relate two. There are two angles you might take:

1. Something that helps the interviewer dig up past behavior. For example, "Tell me about the last thing you purchased over $100." Have the interview subject explain what they bought, what the purchase process was like from desire to actual ownership, how they made their purchase decision, etc.

2. Something that helps the interviewer unlock deeper motivations and desires. For example, "Tell me about your dream car." Prompt your students not just to get people to describe the car, but to dig into the reasons behind the choice; they can also prompt for whether the interview subject has ever experienced driving the car.

Exercise

Step 1: Intro, 5 minutes

Explain the exercise, the topic that the students will use, and give a few specific suggestions for questions they might ask. Example questions for the dream car: *when did you fall in love with the car and why? of the reasons you shared, why are these the most important to you? how have you imagined using the car? etc*

Step 2: Interview Plan, 2 minutes

Give your class the topic and let them spend 5 minutes on their own. They should write down no more than 6 questions to ask.

Step 3: , 5 - 7 minutes each

Pair up your students. One will begin as the interviewer, and their opposite will be interviewed. Give them 7 minutes, and then switch the roles, keeping the pairs unchanged. The new interviewer gets 7 minutes.

The person doing the interviewing should also take notes, which will give them some exposure to doing an interview solo as opposed to bringing a note-taker to help (which is what most people prefer to do when possible).

Step 4: Observations and Questions, 5-10 minutes

Ask the room to share observations, challenges, lessons or questions on what it was like to do a live interview.

Teaching Exercise #2: Mock Approach

, the Associate VP of Entrepreneurship at the University of Maryland, recommends a class exercise where one or more teams of students takes on the role of cold calling an "expert." The team has to do it over and over until they get it right.

For this exercise, select one team and have them come to the front of the classroom. Their job is to "cold call" a selected member of the teaching team. The teacher will pretend to be an expert in the team's target field. The team needs to get the expert to take the call, and smoothly transition into asking questions.

The job of the person playing the "expert" is to block the team's misguided attempts to engage. When the team does something wrong, the expert declines the interview request, or ends the conversation, or gives them a gong. Then the team has to start over again.

Classic mistakes that should trigger the team starting over include long or unclear introductions, pitching the product/technology too soon, implying that the expert has problems and desperately needs help, and/or generally making the expert feel uncomfortable with the line of questioning.

As Dean describes it, "We let the other teams offer critiques and suggest plans of attack for winning over the expert and then the chosen team tries it again. Eventually after being gonged several times in a row, they stop making the same mistakes and start to

converge on a good elevator pitch that praises and disarms the expert and paves the way to entering into an interview. Then we stop the exercise."

The exercise will probably be humorous and painful at the same time, but there is nothing like stumbling, or watching a team stumble, to realize why best practices are best practices.

Screwing Up Customer Discovery

So how do people screw up customer discovery? Here are a few anti-patterns:

1. You treat speculation as confirmation

Here are some question types that I don't like — and if you ask them, you should heavily discount the answer: "would you use this?" "would you pay for this?" "would you like this?"

I can't say that I *never* ask these questions, but I always prefer behavioral questions over speculation.

As contrast, here is a behavior-focused interaction: "Tell me about a time when you bought airline tickets online." "What did you enjoy about the process? What frustrated you about the process?" "What different systems or methods have you tried in the past to book tickets?"

2. You lead the witness

Leading the witness is putting the answer in the interviewee's mouth in the way you ask the question. For example: "We don't think most people really want to book tickets online, but what do you think?" Examine both how you phrase your questions and your tone of voice. Are you steering the answer? Ask open-ended, neutral questions before you : "what was that experience of buying online tickets like?"

3. You just can't stop talking

Some entrepreneurs can't help themselves — they are overflowing with excitement and just have to pitch pitch pitch. There is nothing

wrong with trying to pre-sell your product — that is an interesting experiment unto itself — but you should not mix this in with behavioral learning.

If you do try to pre-sell, don't just ask, "Would you pay for this?" but rather ask them to actually pay, and see what happens. Some people ask the question, "How much would you pay for this?" but I do not. Instead, try actually selling at different price points (albeit one at a time). I much prefer having the potential customer experience something, rather than speculate over something.

4. You only hear what you want to hear

I see some people go into interviews with strong beliefs about what they like and dislike. When you debrief after their custdev conversation, it is magical how everything they heard aligns perfectly with their opinions. Our brains are amazing filters. Leave your agenda at the door before starting a conversation. One way to solve this is to have two people for each interview — one person to ask questions, and the other to take notes.

5. You treat a single conversation as ultimate truth

You've just spoken to a potential customer and they have really strong opinions. One instinct is to jump to conclusions and rush to make changes. Instead, you need to be patient. There is no definitive answer for how many similar answers equals the truth. Look for patterns and use your judgement. A clear, consistent pattern at even 5 or 10 people is a signal.

6. Fear of rejection wins out

This is one of the biggest blockers to people doing qualitative research, in my experience, because of fear of a stranger rejecting your advance or rejecting your idea. Many excuses, such as "I don't know how to find people to talk to," are rooted in this fear. JFDI. Customer development isn't just about street intercepts. You can

recruit people on Craigslist, Facebook and LinkedIn groups, and good old fashioned networking.

7. You talk to anyone with a pulse

I see some teams taking a shotgun approach. Instead, define your assumptions around who your customer will be and who your early adopter will be. You might even do a lightweight persona (see the book Lean UX for examples). Zoom in on those people and try to validate or invalidate your assumptions about your customers. It is ok to occasionally go outside your target zone for learning, but don't boil the ocean. Focus, learn, and pivot if necessary.

8. You wing the conversation

If you go into a conversation unprepared, it will be evident. Write up your questions ahead of time and force-rank them based on the risks and assumptions you are worried about.

To define your assumptions, you can answer the questions in the business assumptions exercise (previous section), or do a business model canvas or a lean canvas. Your exact method doesn't matter as much as the act of prioritizing your risk areas.

During your actual interview, do not literally read your questions from a piece of paper, but rather keep things conversational (remember, you are getting the subject to tell you stories). If you uncover something interesting, follow your nose and don't be afraid to diverge from your initial priorities.

9. You try to learn everything in one sitting

Rather than trying to go as broad as possible in every conversation, you are actually better off zooming in on a few areas which are critical to your business. If you have a huge range of questions, do more interviews and split the questions.

10. Only the designer does qualitative research

It is ok to divide and conquer most of the time, but everyone on the team should be forced to get out and talk to real people. Note: you will probably have to coach newcomers on #5's point about not jumping to conclusions.

11. You did customer development your first week, but haven't felt a need to do it since

It is always sad to see product teams start things off with customer development, and then completely stop once they get going. It *is* perfectly fine to let customer discovery work ebb and flow. If your learning curve flattens, it can make sense to press pause or change up your approach. However, you want to build a regular qualitative cadence into your product process. It will provide a necessary complement to your quantitative metrics, because it will help you understand the reasons why things are happening.

12. You ask the customer to design your product for you

There's a famous line attributed to , "If I had asked people what they wanted, they would have said faster horses." Remember, it is not the customer's job to design the solution. It is *your* job. It is the customer's job to tell you if your solution sucks. Get feedback, yes. Remember that the further away you are from a working product, the more you have to filter what you hear through your judgement and vision.

Disclaimer

As with all tips on lean and agile, there are always places and times to break the rules and do what is right for your context, and your business.

Glossary

Concierge and "Wizard of Oz" Experiments

A concierge experiment is where you manually act out your product. An example in book *The Lean Startup* shows an entrepreneur serving as a personal shopper for people before trying to design an automated solution. When my colleagues were testing a diet plan service, we did not want to rush to software before testing our assumptions. Instead, we interviewed participants about their food preferences, manually created meal plans which were emailed to them over two weeks, and interviewed them at various points in the process. At the end of the two weeks, we asked them to pay a set amount to continue, and tracked the conversion rate.

A "Wizard of Oz" experiment is similar, with the difference being that the manual work is hidden from the customer. For example, another set of colleagues tested an idea for a smart task management system for married couples. The twenty couples participating in the test thought that they were interacting with a computer system, but in reality they were emailing in to our team, who then processed the emails accordingly. We just said that the servers would be "down" at night!

Minimum Viable Product (MVP)

An MVP is the smallest thing you can create that gives you meaningful learning about your product. MVP is often used interchangeably with "experiment" in the broader community. I personally tend to reserve it specifically for tests around the product, and not for experiments related to other business assumptions. It is best to think about MVPs as an ongoing process, rather than a single release. Validation is rarely that neat and tidy.

Scientific Method

I think the best way to explain the scientific method is to quote the theoretical physicist, :

"In general we look for a new law by the following process: first we guess it. Don't laugh -- that's really true. Then we compute the consequences of the guess to see what, if this law is right, what it would imply. Then we compare those computation results to nature, i.e. experiment and experience. We compare it directly to observation to see if it works.

"If it disagrees with experiment, it's wrong. That simple statement is the key to science. It doesn't make a difference how beautiful your guess is, it doesn't make a difference how smart you are, who made the guess or what his name is -- if it disagrees with experiment, it's wrong. That's all there is to it." *(Cornell lecture, 1964)*

It is relatively straightforward to apply the scientific method to business. You accept that your ideas are hypotheses. You make them as specific as possible so that you can guess the results, i.e. the implications, of your hypotheses. You design and run an experiment. If your hypothesized results do not match the results of your experiment, your hypothesis is proven wrong. However, business is about people, and people are highly complex and inconsistent compared to laws of nature. So if your experiment fails, you will still need to apply judgement about whether the errors are in the hypothesis or in the experiment.

Other Learning Resources

Authors

The two seminal books on the topics of lean innovation and customer development are and *The Startup Owner's Manual* and *The Lean Startup*.

There are a ton of other resources out there, from books to videos and blog posts. Rather than link to particular items and thus miss out on newer developments, here are a few names that I recommend you pay attention to: ,
, , ,
, , , , ,
, , , , and

Talking to

On our website talkingtohumans.com, you can get worksheet pdfs and sign up for our email list, where we send occasional notes based on useful resources we discover.

Behind the Book

to Humans was written by , at the instigation and with the collaboration of of NYU's Entrepreneurial Institute, and with the wonderful illustrations of .



(giffconstable.com) is a repeat entrepreneur and currently the CEO of Neo, a global product innovation consulting company. He has held product design and business roles in six startups, and provided M&A and IPO services to technology firms while at Broadview/Jefferies. He was one of the earliest adopters & bloggers of the Lean Startup movement, co-organizes the 4,700-person meetup in New York, and tries to give back to the entrepreneurial community through mentoring and speaking engagements. He lives outside of New York City with his wife, two children, and an excessively rambunctious retriever.

brings over 20 years of experience in technology commercialization, startups and early-stage venture capital investing. He is executive director of the NYU Entrepreneurial Institute, managing director of the NYU Innovation Venture Fund, at NYU's Polytechnic School of Engineering, and an Instructor in the NSF's I-Corps program, having trained and mentored hundreds of entrepreneurs in customer development and lean startup methodologies. Previously, he was a founding partner of New Venture Partners, director/entrepreneur-in-residence at Lucent's New Ventures Group, and has held various positions in product management, marketing and business development at Sun Microsystems, Apple and NeXT. He lives outside of New York City with his wife, two daughters and his increasingly mellow mutt.

arketoonist.com) started drawing cartoons on the backs of Harvard Business School cases. His cartoons have grown by word of mouth to reach 100,000 business readers a week and have been featured by the Wall Street Journal, Fast Company, and the New York Times. Tom is the Founder and CEO of Marketoon Studios, a content marketing studio that helps businesses such as Google, Kronos, and Rocketfuel reach their audiences with cartoons. Tom draws from 19 years in the marketing and innovation trenches at Method Products, Nestle, and General Mills. He lives near San Francisco with his wife and two daughters.

Like The Book?

When Frank approached me to write this book, we both had the same goal of giving back to the community. We debated charging for the book, and pondered whether the question of free versus paid would affect how it was perceived. But ultimately, we decided to put it out into the world for free.

Should you like *Talking to Humans*, and feel a need to contribute back to something, we would encourage you to think about doing one or all of the following:

1. Pay it back (and forward!) by mentoring another student or entrepreneur

2. Donate to one of our favorite causes: Charity: Water, Girls Who Code, Kiva or the NYU Entrepreneurial Institute

3. Share a link to the talkingtohumans.com website or give someone a copy of the book

If this book has helped you in some small way, then that is reward enough for us. It's why we did it.

and

September 2014
talkingtohumans.com

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Acclaim for *Talking to Humans*

"*Talking to Humans* is the perfect complement to the existing body of work on customer development. If you are teaching entrepreneurship or running a startup accelerator, you need to make it required reading for your students and e."

, entrepreneur and author of *The Startup Owner's Manual*

" on your Customer Discovery journey is the most important step to becoming a successful entrepreneur and reading *Talking To Humans* is the smartest first step to finding and solving real problems for payi

, Executive Director, for Entrepreneurship, lifornia Berkeley

"If entrepreneurship 101 is talking to customers, this is the syllabus. *Talking to Humans* is a thoughtful guide to the customer informed product development that lies at the foundation of successful start-ups."

Phin Barnes, Partner, First Round Capital

"A lot of entrepreneurs pay lip service to talking to customers but you have to know how. *Talking to Humans* offers concrete examples on how to how to recruit candidates, how to conduct interviews, and how to prioritize lear stomers more through listening versus talking."

, Founder of Spark59 and author of *Running Lean*

"When getting 'out of the building,' too many people crash and burn right out of the gate and wonder what happened. *Talking to Humans* is a quick and de for how Lean Startup interviews should be done."

, Associate VP for Innovation & Entrepreneurship, Maryland

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